

BUSINESS MANAGEMENT AND ORGANIZATION

Every business — sole proprietorship or global corporation — needs someone deciding what to do, who does it, and whether it worked. That's management. Today we open up the job.

WHAT YOU'RE GETTING FOR YOUR 50 MINUTES

- 7.1** Explain foundational ideas of management.
- 7.2** Discuss why managers need tactical, operational, and contingency plans.
- 7.3** Explain why the organization of a company is significant.
- 7.4** Detail how managers ensure that the business is on track and moving forward.

Gold-outlined boxes are in-class activities — that's your cue to actually participate, not just read.

THE DEFINITION WE BUILD ON ALL CLASS

Management. Working with people and resources to achieve organizational goals.

Chapter 6 picked the legal shape of the business. Chapter 7 asks who actually runs it once it exists.

OBJECTIVE 7.1

What does a manager actually do?

Management isn't one task — it's four ongoing jobs, done at every level of a company.

Management. Working with people and resources to achieve organizational goals.

YOUR OWN EXAMPLE

The four functions of management

Tap each function to see what it covers.

01 Planning

Deciding what needs to happen and how to get there — setting goals and mapping the path.

EX. _____

02 Organizing

Arranging people and resources so the plan can actually be carried out.

EX. _____

03 Leading

Motivating, directing, and communicating with employees to get the work done well.

EX. _____

04 Controlling

Measuring performance against the plan and correcting course when needed.

EX. _____

Three levels of management

Top managers. Set overall direction and strategy for the entire organization (e.g., CEO, CFO).

YOUR OWN EXAMPLE

Middle managers. Translate top management's strategy into department-level plans and goals.

YOUR OWN EXAMPLE

First-line managers. Directly supervise the employees who produce the company's goods or services.

YOUR OWN EXAMPLE

Skills every manager needs

- Conceptual skills — seeing the big picture
- Technical skills — know-how in a specific function
- Interpersonal skills — working well with people
- Time management
- Decision-making

IN-CLASS ACTIVITY

Find a real job posting for a manager in an organization. Identify the qualifications it asks for — which of the four functions and which skills show up most?

NOTES · 7.1 WHAT DOES A MANAGER ACTUALLY DO?

OBJECTIVE 7.2

Planning for what's next

Good plans exist on different time horizons — and managers need all of them at once.

Goals vs. objectives

Goals. Long-term outcomes the organization wants to achieve.

YOUR OWN EXAMPLE

Objectives. Short-term, specific targets that build toward a larger goal.

YOUR OWN EXAMPLE

Strategic planning. Setting the organization's long-term direction, typically done by top managers.

YOUR OWN EXAMPLE

Vision vs. mission statement

Vision. A statement of the organization's desired future state — where it's trying to go.

YOUR OWN EXAMPLE

Mission statement. A statement of the organization's purpose — why it exists right now.

YOUR OWN EXAMPLE

SWOT analysis

Tap each letter to see what it stands for.

S Strengths

Internal advantages the organization already has — skills, brand, resources.

EX.

W Weaknesses

Internal limitations that put the organization at a disadvantage.

EX.

O Opportunities

External conditions the organization could take advantage of.

EX.

T Threats

External conditions that could harm the organization.

EX. _____

Four types of plans

Strategic. Sets overall direction for the whole organization, usually 3–5+ years out.

YOUR OWN EXAMPLE

Tactical. Translates strategy into department-level actions, usually within a year or two.

YOUR OWN EXAMPLE

Operational. Day-to-day plans that keep a specific unit or process running.

YOUR OWN EXAMPLE

Contingency. A backup plan for what to do if things don't go as expected.

YOUR OWN EXAMPLE

IN-CLASS ACTIVITY

In groups, pick a sample organization and identify one real Strength, Weakness, Opportunity, and Threat for it.

NOTES · 7.2 PLANNING FOR WHAT'S NEXT

OBJECTIVE 7.3

Why organization design matters

Once you know what needs doing, you need a structure that says who reports to whom.

Organizing. Arranging resources and people so the organization can achieve its goals.

YOUR OWN EXAMPLE

Organizational chart. A visual diagram showing authority and reporting relationships within a company.

YOUR OWN EXAMPLE

Two classic shapes

Vertical (tall) structure. Many layers of management between the top and the front line — narrow spans of control, clear chain of command.

YOUR OWN EXAMPLE

Horizontal (flat) structure. Few layers of management, wider spans of control, faster decisions but more responsibility per manager.

YOUR OWN EXAMPLE

Other structures worth knowing

01 Matrix

Employees report to two managers at once — a functional manager and a project manager.

EX.

02 Inverted

Puts frontline, customer-facing employees at the top, with management structured to support them.

EX.

03 Network

A core company outsources most functions and coordinates a web of outside partners.

EX.

NOTES · 7.3 WHY ORGANIZATION DESIGN MATTERS

OBJECTIVE 7.4

Keeping the business on track

Plans rarely survive contact with reality untouched — controlling is how managers catch that early.

Controlling. Measuring performance against goals and correcting problems as they arise.

YOUR OWN EXAMPLE

The control cycle

1 Set standards

Decide what "good performance" looks like before work begins.

EX. _____

2 Measure performance

Track actual results against those standards.

EX. _____

3 Compare results

Identify gaps between what was expected and what happened.

EX. _____

4 Correct problems

Adjust the plan, the process, or the resources to close the gap.

EX. _____

Quality management approaches

TQM. A company-wide commitment to continuously improving quality in every process, not just the final product.

YOUR OWN EXAMPLE

Six Sigma. A data-driven method for reducing defects and variation in a process to near-zero error rates.

YOUR OWN EXAMPLE

REAL-WORLD EXAMPLE

Nike stopped working with vendors that used child labor — which means it now runs independent audits of its suppliers on a regular basis, a direct example of the control cycle applied to ethical compliance.

NOTES · 7.4 KEEPING THE BUSINESS ON TRACK

CHAPTER 7 · WRAP-UP

Closing the org chart

Define each term in your own words. If you can do all of them without looking, you're ready for the quiz.

DEFINE THESE IN YOUR OWN WORDS

- | | | |
|---------------------|-----------------------|------------------------|
| • Management | • Planning | • Organizing |
| • Leading | • Controlling | • Top managers |
| • Middle managers | • First-line managers | • Goals |
| • Objectives | • Strategic planning | • Vision |
| • Mission statement | • SWOT analysis | • Organizational chart |
| • Control cycle | • TQM | • Six Sigma |

ACTIVITY MINUTE · BEFORE YOU LEAVE

Which key term from this chapter matters most, and why?

Your one biggest “aha” moment from today.

Which of the four management functions do you think is hardest to do well?

TOTAL — 50 MIN · PAID IN FULL

Chapter 6 picked the business's legal shape. Chapter 7 showed how it's actually run day to day. Next, we zoom in on the people who make that structure work — human resource management.